

PURCHASING

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City of Waterville

Addendum A

Federal Procurement Manual

This manual governs the City's procurement and purchase of property, goods and services using any federal award, in whole or in part, that is subject to the Uniform Guidance, codified at 2 CFR Part 200.

Note that a federal award is any federal financial assistance (including cost-reimbursable contracts) that the City receives either directly from a federal agency or indirectly from a pass-through entity. Most, but not all, federal awards received by the City are subject to the Uniform Guidance. To confirm whether a federal award is subject to the Uniform Guidance, review the terms and conditions of the applicable grant agreement or cooperative agreement and the applicability provisions of the Uniform Guidance.

To the extent necessary or convenient, the City Manager or his or her designee shall implement further written measures to ensure compliance with these procedures and any applicable federal laws and rules, including any applicable provisions of the Uniform Guidance and the federal award terms and conditions. Any such written measures shall be made part of this manual.

I. GENERAL STANDARDS

- A. The City will maintain oversight to ensure that contractors perform in accordance with the terms, conditions and specifications of their contracts or purchase orders.
- B. The City will review procurements to avoid acquisition of unnecessary or duplicative items.
- C. The City will give consideration to consolidating or breaking out procurements to obtain a more economical purchase.
- D. Where appropriate, the City will consider lease versus purchase, and any other appropriate analysis to determine the most economical approach.
- E. Where appropriate, the City will enter into state and local intergovernmental agreements or inter-entity agreements for procurement or use of common or shared goods and services.
- F. The City will consider the use of federal or state excess and surplus property in lieu of purchasing new equipment and property whenever such use is feasible and reduces project costs.
- G. The City will award contracts only to responsible contractors possessing the ability to perform successfully under the terms and conditions of the proposed procurement. Consideration will be given to integrity, compliance with public policy, record of past performance and financial and technical resources. Review of compliance with suspension and debarment requirements will be appropriately documented.

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- H. Construction project specific:
 - 1. Where applicable, the City will use value engineering clauses in its contracts for construction projects of sufficient size to offer reasonable opportunities for cost reductions. Value engineering is a systematic and creative analysis of each contract item or task to ensure that its essential function is provided at the overall lower cost.
 - 2. The City will use time-and-material-type contracts only after a determination that no other contract is suitable and if the contract includes a ceiling price that the contractor exceeds at its own risk.
- I. The City is responsible, in accordance with good administrative practice and sound business judgment, for the settlement of all contractual and administrative issues arising out of procurements, including source evaluation, protests, disputes and claims.

II. **CODE OF CONDUCT**

- A. Conflict of Interest
 - 1. No employee, officer or agent must participate in the selection, award or administration of a contract supported by a federal or state award if he or she has areal or apparent conflicts of interest.
 - 2. Such a conflict of interest would arise when the employee, officer or agent, any member of his or her family, his or her partner, or an organization which employs or is about to employ any of the parties indicated herein, has a financial or other interest in or receives a tangible benefit from a firm considered for a contract.
- B. Acceptance of Gratuities
 - 1. The officers, employees and agents of the City must neither solicit nor accept gratuities, favors or anything of monetary value from contractors or parties to subcontracts. However, the City may set standards for situations in which the financial interest is not substantial or the gift is an unsolicited item of nominal value. These situations will be properly documented and maintained for subsequent review and monitoring.
- C. Disciplinary Action
 - 1. As permitted by law, rule, policy or regulation, the City shall pursue appropriate legal, administrative or disciplinary action against an employee, officer or agent who knowingly and deliberately violates the provisions of this code and this individual shall be removed from any further responsibility or involvement with grants management and procurement actions or bids, consistent with federal and state policy.
 - 2. Any contractor or potential contractor who knowingly and deliberately violates the provisions of these procurement standards will be barred from future transactions with the City.

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III. METHODS FOR PROCUREMENT

Procurements shall be made using one of the following methods: (a) micro-purchases, (b) small purchase procedures, (c) sealed bids, (d) competitive proposals and (e) noncompetitive proposals.

A. Micro-Purchases

Procurement by micro-purchase is the acquisition of supplies or services where the aggregate dollar amount does not exceed \$10,000. To the extent practical, the City will distribute these purchases equitably among qualified suppliers. These purchases may be awarded without soliciting competitive quotations if the City considers the price to be reasonable. Compliance with micro-purchase procedures will be documented by the purchasing agent and management on the documentation supporting the procurement (i.e., contract, invoice, etc.).

B. Small Purchase Procedures

Small purchase procedures are those relatively simple and informal procurement methods for securing services, supplies or other property that are above the micro-purchase threshold (\$10,000) and below the Simplified Acquisition Threshold (\$250,000). If small purchase procedures are used, price and rate quotations must be obtained from an adequate number of qualified sources. The price and rate quotations will be obtained by phone, email, mail or fax.

A purchase checklist and bid summary will be completed for all procurements acquired using small purchase procedures. The purchase checklist and bid summary will be completed by the purchasing agent and approved by an appropriate member of management. See City Purchasing Ordinance Addendum B for purchasing checklist and bid summary template.

C. Sealed Bids

For purchases in excess of the federal simplified acquisition threshold where a complete, adequate and realistic specification or purchase description is available, the City shall issue a notice of written invitation for sealed bids in a manner reasonably calculated to attract qualified bidders and provide the bidders with sufficient response time. The invitation for bids shall provide a complete specification of the goods or services to be purchased.

If sealed bids are used, the following requirements will be followed:

- All bids will be publicly opened at the time and place prescribed in the invitation for bids.
- A firm fixed-priced contract will be awarded to the lowest responsive and responsible bidder whose bid conforms to all material terms and conditions of the invitation to bid.
- Any or all bids may be rejected if there is a sound documented reason.

D. Competitive Proposals

The City will utilize competitive proposals upon a written determination that (a) specifications cannot be made specific enough to permit the award of a bid on the basis of either the lowest bid or the lowest evaluated bid price (in other words,

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bidding is not feasible) and/or (b) the services to be procured are professional in nature.

If competitive proposals are used, the following requirements will be followed:

- Requests for proposals (RFPs) will be publicized and identify all evaluation factors and their relative importance. Additionally, RFPs may be prepared and mailed to qualified vendors. Any response to publicized requests for proposals will be considered to the maximum extent practical.
- RFPs will be solicited from an adequate number of qualified sources.
- The RFP will describe services needed and identify the factors to be considered in the evaluation of proposals and the relative weights assigned to each selection factor.
- The RFP will state where further details regarding the RFP may be obtained and the RFP will call attention to the same regulations discussed in the bidding process.
- RFPs will always include cost as a selection factor.
- Contracts will be awarded to the responsible firm whose proposal is most advantageous to the City and federal or state program. Evaluations will be based on the factors set forth in the RFP and a written evaluation of each response prepared.
- The RFP review committee may contact the firms regarding their proposals for the purpose of clarification and record in writing the nature of the clarification.
- If it is determined that no acceptable proposal has been submitted, all proposals may be rejected. New proposals may be solicited on the same or revised terms or the procurement may be abandoned.

E. Noncompetitive Proposals

Noncompetitive proposals may be used for procurements when bidding or competitive proposals are not feasible. The City may purchase goods and services through noncompetitive proposals when it is determined by the purchasing agent and approved by management in writing that competitive proposals or bidding is not feasible and that:

- The item is only available from a single source, or
- An exigency or emergency exists which will cause public harm as a result of the delay caused by following competitive purchasing procedures, or
- The contract is for the purchase of perishable items purchased on a weekly or more frequent basis, or
- Only one satisfactory proposal is received through RFP, or
- The federal or state awarding agency or pass-through entity expressly authorizes noncompetitive proposals in response to a written request from the City.

F. Purchases over \$25,000

For purchases exceeding \$25,000, prior to contracting with a vendor, the City shall use the System for Award Management (SAM) to search for the vendor by name,

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tax identification number or another characteristic to make sure that the vendor has not been suspended or debarred from performing federally funded work.

G. Construction Projects

In addition to the above methods of procurement, the following requirements will be followed on all construction related procurements:

- Bids will only be accepted from those contractors who have a proven record of ability to successfully complete the scope of work being bid.
- References will be requested along with the contractor's bid proposal.
- Any contractors submitting a bid must produce (along with bid documents) written proof of liability insurance and workers' compensation coverage.
- Consideration will be given to such matters as contractor integrity, compliance with public policy, record of past performance and financial and technical resources in awarding contracts.
- For construction or facility improvement contracts or subcontracts exceeding the Simplified Acquisition Threshold (\$250,000), the federal awarding agency or pass-through entity may accept the bonding policy and requirements of the City, provided that the federal awarding agency or pass-through entity has made a determination that the federal interest is adequately protected (documentation will be maintained to support this representation).

If such a determination has not been made, the minimum requirements must be as follows:

- A bid guarantee from each bidder equivalent to 5% of the bid price. The bid guarantee must consist of a firm commitment such as a bid bond, certified check or other negotiable instrument accompanying a bid as assurance that the bidder will, upon acceptance of the bid, execute such contractual documents as may be required within the time specified.
- A performance bond on the part of the contractor for 100% of the contract price. A performance bond is one executed in connection with a contract to secure fulfillment of all the contractor's obligations under such contract.
- A payment bond on the part of the contractor for 100% of the contract price. A payment bond is one executed in connection with a contract to assure payment as required by law of all persons supplying labor and material in the execution of the work provided for in the contract.

IV. **CONTRACT COST AND PRICE**

The City will perform a cost or price analysis in connection with every procurement action in excess of the Simplified Acquisition Threshold (\$250,000), including contract modifications. The method and degree of analysis will be dependent on the facts surrounding the particular procurement situation, but as a starting point, the City must make independent estimates before receiving bids or proposals.

The City will negotiate profit as a separate element of the price for each contract in which there is no price competition and in all cases where a cost analysis is performed. To establish a fair and reasonable profit, consideration will be given to the complexity of the

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work to be performed, the risk borne by the contractor, the contractor's investment, the amount of subcontracting involved, the quality of its record of past performance and industry profit rates in the surrounding geographical area for similar work.

Costs or prices based on estimated costs for contracts under the federal or state award are allowable only to the extent that costs incurred or cost estimates included in negotiated prices would be allowable for the City under the Uniform Guidance Subpart E - Cost Principles.

The cost plus a percentage of cost and percentage of construction cost methods of contracting are not allowed under the Uniform Guidance and will not be used.

V. **CONTRACTS**

Generally, all procurements in excess of the micro-purchase threshold (\$10,000) will be supported by a written contract. Where it is not feasible or is impractical to prepare a contract, a written finding to this effect will be prepared and some form of documentation regarding the transaction will also be prepared. All contracts will contain the applicable provisions described in the Uniform Guidance under Appendix II to Part 200 - Contract Provisions for non-Federal Entity Contracts Under Federal Awards. In addition, all contracts will contain language which allows the City the opportunity to cancel any contract for cause.

VI. **SUB-RECIPIENT AND CONTRACTOR DETERMINATIONS**

The City must make case-by-case determinations whether each agreement it makes for the disbursement of federal funds casts the party receiving the funds in the role of a sub-recipient or a contractor. The City shall make this classification using its judgment based on the following factors, as well as any additional guidance supplied by the federal awarding agency:

- Contractors: a contract is for the purpose of obtaining goods and services for the party's own use and creates a procurement relationship with the contractor. Characteristics indicative of a procurement relationship between the City and a contractor are when the contractor:
 - Provides the goods and services within normal business operations
 - Provides similar goods and services to many different purchasers
 - Normally operates in a competitive environment
 - Provides goods or services that are ancillary to the operation of the federal program
 - Is not subject to compliance requirements of the federal program as a result of the agreement, though similar requirements may apply for other reasons
- Sub-recipients: a sub-award is for the purpose of carrying out a portion of a federal award and creates a federal assistance relationship with the sub-recipient. Characteristics which support the classification of a party receiving federal funds as a recipient include when the party:
 - Determines who is eligible to receive what federal assistance

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- Has its performance measured in relation to whether objectives of a federal program were met
- Has responsibility for programmatic decisionmaking
- Is responsible for adherence to applicable federal program requirements specified in the federal award
- In accordance with its agreement, uses the federal funds to carry out a program for a public purpose specified in authorizing statute, as opposed to providing goods or services for the benefit of the pass-through entity

If a party receiving funds is classified by the City as a sub-recipient, the City must:

- Ensure that every sub-award is clearly identified to the sub-recipient as a sub- award and includes the following information:
 - Federal award identification
 - Sub-recipient name
 - Sub-recipient unique entity identifier
 - Federal award identification number (FAIN)
 - Federal award date of award to the recipient by the federal agency
 - Sub-award period of performance start and end date
 - Amount of federal funds obligated by the action of the City to the sub-recipient
 - Total amount of federal funds obligated to the sub-recipient by the City, including the current obligation
 - Total amount of the federal award committed to the sub-recipient by the City
 - Federal award project description, as required to be responsive to the Federal Funding Accountability and Transparency Act (FFATA)
 - Name of federal awarding agency and contact information for awarding official of the City
 - Assistance listing number and federal program name
 - Identification of whether the award is R&D
 - Indirect cost rate for the federal award (including if the de minimis rate is charged)
 - All requirements imposed by the City on the sub-recipient so that the federal award is used in accordance with federal statutes, regulations and the terms and conditions of the federal award
 - Any additional requirements that the City imposes on the sub-recipient so as to meet its own responsibility to the federal awarding agency, including identification of any required financial and performance reports
 - An approved federally recognized indirect cost rate negotiated between the sub-recipient and the federal government, or, if no such rate exists, either a rate negotiated between the City and the sub-recipient or a de-minimis indirect cost rate as defined in the Uniform Guidance.

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- A requirement that the sub-recipient permit the City and auditors to have access to the sub-recipient's records and financial statements as necessary for the City to meet its monitoring requirements
- Appropriate terms and conditions concerning closeout of the sub-award
- Evaluate each sub-recipient's risk of noncompliance with federal statutes, regulations and the terms and conditions of the sub-award for purposes of determining the appropriate sub-recipient monitoring described below, which may include consideration of such factors as:
 - The sub-recipient's prior experience with the same or similar sub-awards
 - The result of previous audits including or not the sub-recipient receives a single audit and the extent to which the same or similar sub-award has been audited as a major program
 - Whether the sub-recipient has new personnel or new or substantially changed systems
 - The extent and results of federal awarding agency monitoring
- Consider imposing specific sub-award conditions upon a sub-recipient as described in the Uniform Guidance
- Monitor the activities of the sub-recipient as necessary to ensure that the sub-award is used for authorized purposes, in compliance with federal statutes, regulations and the terms and conditions of the sub-award, and that sub-award performance goals are achieved. City monitoring of the sub-recipient must include:
 - Reviewing financial and performance reports required by the City
 - Following up and ensuring that the sub-recipient takes timely and appropriate action on all deficiencies pertaining to the federal award provided to the sub-recipient from the City detected through audits, on-site reviews and other means
 - Issuing a management decision for audit findings as required by the Uniform Guidance
 - Depending on the City's assessment of risk posed by the sub-recipient, the following monitoring tools may be useful to ensure proper accountability and compliance with program requirements and performance goals:
 - Providing sub-recipients with training and technical assistance
 - Performing on-site reviews of the sub-recipients program operations
 - Arranging for agreed-upon-procedures engagements as described in the Uniform Guidance (audit services)
- Verify that each sub-recipient is audited as required by Part F (Audit Requirements) of the Uniform Guidance when it is expected that the sub-recipient's federal awards expended during the respective fiscal year equaled or exceeded the threshold set forth in the Uniform Guidance
- Consider whether the results of the sub-recipient's audits, on-site reviews or other monitoring indicate conditions that necessitate adjustments to the City's own records
- Consider taking enforcement action against noncompliant sub-recipients as described in the Uniform Guidance

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VII. DOCUMENTATION

All source documents supporting any given transaction (receipts, purchase orders, invoices, RFP data and bid materials) will be retained and filed in an appropriate manner. Where feasible, source documents pertinent to each individual procurement shall be separately filed and maintained.

Where it is not feasible to maintain individual procurement files, source documents will be filed and maintained in a reasonable manner (examples include chronologically, by vendor, by type of procurement, etc.). Whatever form of documentation and filing is employed, the purpose of this section is to ensure that a clear and consistent audit trail is established and record retention requirements are met. At a minimum, source document data must be sufficient to establish the basis for selection, basis for cost (including the issue of reasonableness of cost), rationale for method of procurement and selection of contract type and basis for payment.

VIII. LOCALLY OWNED, MINORITY-OWNED, FEMALE-OWNED AND SMALL BUSINESSES

All necessary affirmative steps will be taken and documented to solicit participation of locally owned, minority-owned, female-owned and small businesses. The City will solicit proposals from minority- or women-owned businesses that provide the goods and services that are being sought. Where possible and feasible, delivery schedules will be established and work will be subdivided to maximize participation by small businesses or minority- or women-owned businesses. Subdivided components will be bid as a separate contract. Where feasible, evaluation criteria will include a factor with an appropriate weight for these firms. A list of locally owned, minority-owned, female- owned and small businesses and also minority businesses located within the trade region shall be maintained and used when issuing bids or requests for proposals. This list shall also be consulted when making purchases under micro-purchase or small purchase procedures. The City will use the services and assistance of the Small Business Administration and the Minority Business Development Agency of the Department of Commerce and will require the prime contractor, if subcontracts are to be allowed, to use this same criteria in selection of suppliers and subcontractors whenever possible.

IX. FEDERAL AWARDING AGENCY OR PASS-THROUGH ENTITY REVIEW

The City must make available, upon request of the federal or state awarding agency or pass-through entity, technical specifications on proposed procurements where the federal awarding agency or pass-through entity believes such review is needed to ensure that the item or service specified is the one being proposed for acquisition. This review generally will take place prior to the time the specification is incorporated into a solicitation document. However, if the City desires to have the review accomplished after a solicitation has been developed, the federal or state awarding agency or pass-through entity may still review the specifications, with such review usually limited to the technical aspects of the proposed purchase.

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The City must make available upon request, for the federal or state awarding agency or pass-through entity pre-procurement review, procurement documents, such as requests for proposals or invitations for bids, or independent cost estimates, when:

- The City's procurement procedures or operation fails to comply with the procurement standards as outlined in the Uniform Guidance;
- The procurement is expected to exceed the Simplified Acquisition Threshold (\$250,000) and is to be awarded without competition or only one bid or offer is received in response to a solicitation;
- The procurement which is expected to exceed the Simplified Acquisition Threshold (\$250,000) specifies a "brand name" product;
- The proposed contract is more than the Simplified Acquisition Threshold and is to be awarded to other than the low bidder under a sealed bid procurement; or
- A proposed contract modification changes the scope of a contract or increases the contract amount by more than the Simplified Acquisition Threshold (\$250,000).

The City is exempt from the pre-procurement review requirements noted above if the federal or state awarding agency or pass-through entity determines that the procurement system complies with the Uniform Guidance standards.

- The City may request that its procurement system be reviewed by the federal or state awarding agency or pass-through entity to determine whether its system meets the Uniform Guidance standards in order for the system to be certified. Generally, these reviews will occur when there is continuous high-dollar funding, and third-party contracts are awarded on a regular basis.
- The City may self-certify its procurement system. Such self-certification must not limit the federal or state awarding agency or pass-through entity's right to review and survey the system.
- Under a self-certification system, the federal or state awarding agency or pass-through entity may rely on written assurances from the City that is complying with the Uniform Guidance standards. The City must cite specific policies, procedures, regulations or standards as being in compliance the Uniform Guidance requirements and have its system available for review.